

Where to Start

Before you can do anything to get out of the debt quagmire that you are in, you have to know your current financial situation. The place where the credit companies start is where we should start also, and that is with your credit score and your credit report.

A physician or medical doctor first makes an analysis of your medical condition by checking out your symptoms. He then figures out where the problems are, and then gives you options or solutions to treat those problems. If you walk in with a bleeding ulcer, he'd better not say, "Take two aspirin, and call me in the morning." You have to take the same logical step-by-step approach with your financial health.

Imagine you enter your doctor's office and said, "Hey, doc, I have chest pains." Your doctor barely glances up and says, "Lie down on the table, let me do open heart surgery on you." Would you then simply nod, say "okay," and lie down on the table? No way. That would never happen. You expect the doctor to check you out and do a thorough exam before suggesting what may be wrong and how to solve your ailments.

The same rationale applies to your money and to your debt as well. Many people walk into a credit counselor's office and say, "Help! I'm buried alive with my debt." They receive the counselor's suggestion to file bankruptcy or to do a debt consolidation plan, and they blindly say: "Okay, sure, whatever you say."

We need to give our financial health the same thorough care that we give our physical health. You need to do an exam of your current financial well-being to determine where the problems are and how to proceed with solving them. It is amazing how many people naively believe that bankruptcy is the only solution to their debt troubles. Don't get me wrong. There may be occasions when bankruptcy is the way to go, but there are far too many folks filing for bankruptcy, and it does not necessarily end their nightmare. We'll talk more about that later.

In order to take control of your debt, and in doing so, take control of your life again, you first need to realize that it can be done. You don't have to live your life as a slave to the deep pockets of corporate America. Your situation is not hopeless. No situation is hopeless. Don't ever let that thought creep into your head. No matter how deep the hole you